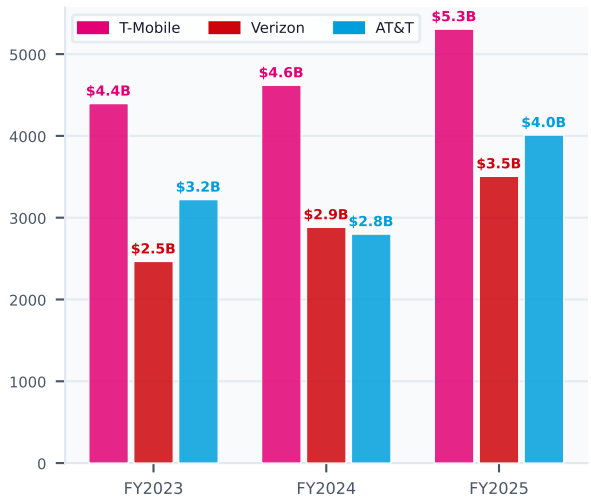


But net leverage alone does not capture who can sustain this — leases, pension, and dividend obligations reshape the ranking.

Metric	T-Mobile	Verizon	AT&T	SIGINT Take
Equipment Gross Loss (FY2025)	5.3B + 0.9B YoY	3.5B + 0.6B YoY	~4.0B + 0.8B YoY [e]	All 3 escalated in 2025. TMUS highest absolute.
Equipment Loss as % of Svc Rev	7.4%	4.2%	~5.9% [e]	TMUS subsidizes most intensely relative to its service base.
Postpaid Phone Net Adds (FY2025)	3,294K #1	362K #3 *	1,551K #2	TMUS adds 9x more subscribers per \$1B of equipment loss.
VZ Quarterly Detail (FY2025)	—	Q1-Q3: -414K Q4: +616K	—	Annual VZ figure hides 9-month bleed; Q4 rescue via heavy promotions.
Subsidy Cost per Net Phone Add	\$1,611 BEST	\$9,685 WORST	~\$2,580	VZ spends 6x more per net add. Primarily for retention/upgrades.
Service EBITDA Margin [1]	55.0%	63.9% BEST	51.3%	VZ: best underlying service economics despite scale commitment.
Subsidy Burn Rate [3]	29% BEST	41% WORST	~36%	VZ burns 41 cents of every post-dividend FCF dollar on promos that yielded only 362K adds.
Net Leverage (reported)	2.38x BEST	2.78x WORST	2.46x	Reported only. Does not reflect leases, pension or dividend burden.
Adjusted Leverage [2]	3.44x	3.25x	3.08x	Full Moody's adj. (incl. AT&T preferred interests at subs) reverses ranking: AT&T ~3.7x WORST.
Interest Coverage	9.0x BEST	7.5x	7.0x LOWEST	All three healthy, but AT&T has least buffer on interest service.
Dividend as % of FCF	0% BEST	57% HIGHEST	42%	VZ: majority of FCF committed before any incremental promo spend.
FCF Deleveraging Rate	22.3%/yr BEST	14.5%/yr SLOWEST	16.5%/yr	TMUS can reduce net debt fastest relative to its size.

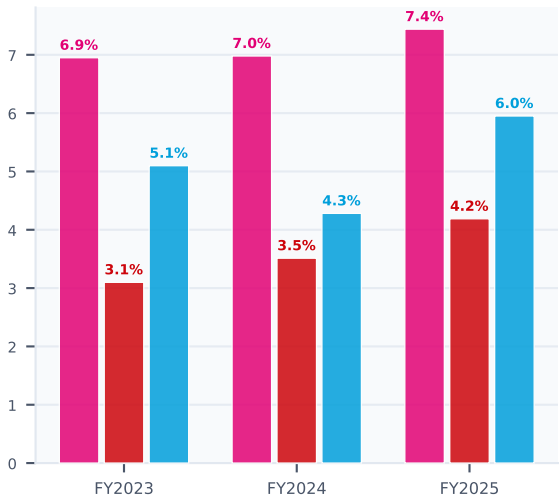
[e] AT&T equipment cost estimated; not separately disclosed. [1] Service EBITDA Margin = (Adj.EBITDA + Equip.Loss) / Wireless Svc Rev. [2] Adj.Leverage = (Net Debt + Op.Leases + Pension) / EBITDA; Moody's full adj. incl. AT&T preferred interests at subs lifts AT&T to ~3.7x. [3] Subsidy Burn Rate = Equipment Gross Loss / (FCF - Dividends). * VZ annual adds of 362K mask: Consumer lost 414K phones in Q1-Q3, recovered 616K in Q4

Equipment Gross Loss (\$M)

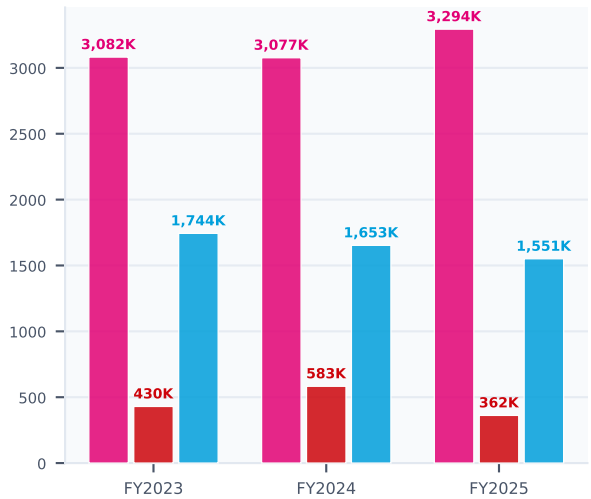


Cost of Equipment - Equipment Revenue = net device subsidy

Equipment Loss as % of Service Revenue

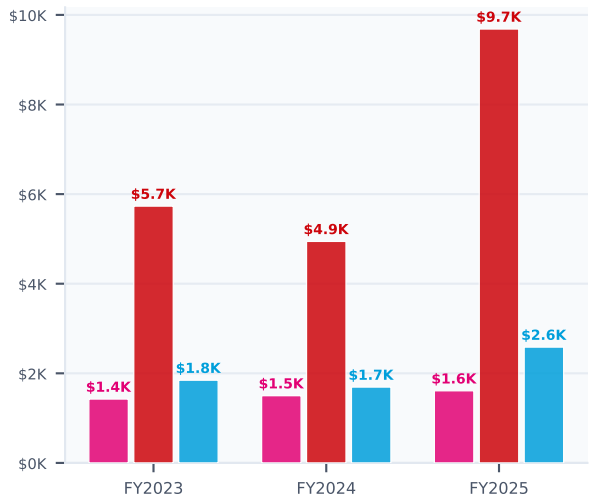


Postpaid Phone Net Adds (000s)



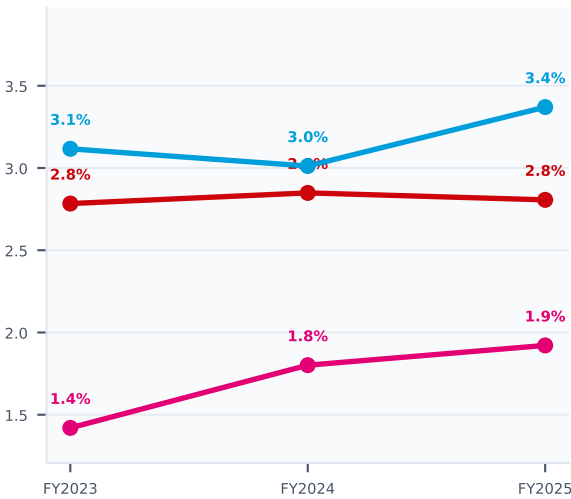
VZ: Consumer + Business combined

Subsidy Cost per Net Phone Add



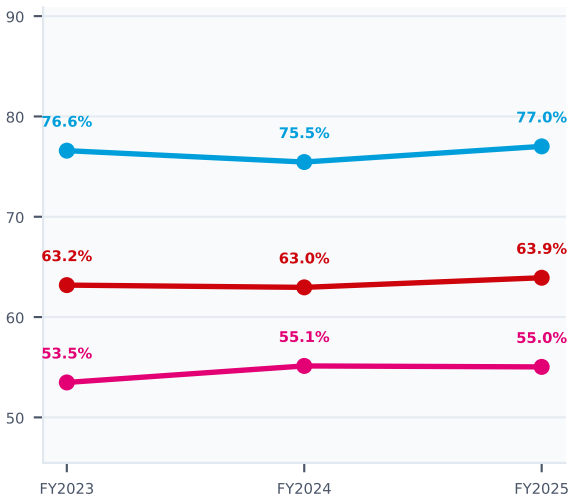
Lower = more efficient acquisition

Bad Debt as % of Service Revenue



Provision for credit losses / wireless svc rev

Service EBITDA Margin (%)



(Adj.)EBITDA + Equip.Loss) / Svc Rev — true svc profitability

Best Conversion Efficiency

\$1,611/add

T-Mobile

Best Service Economics

63.9%

Verizon svc EBITDA margin

Lowest Bad Debt Ratio

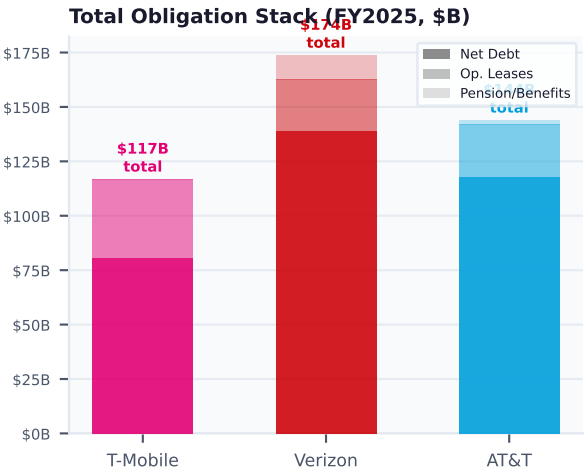
1.9%

T-Mobile (but rising +53%)

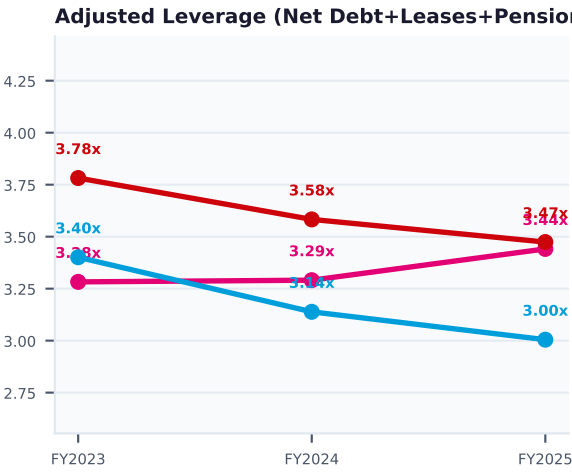
Highest Bad Debt Ratio

3.4%

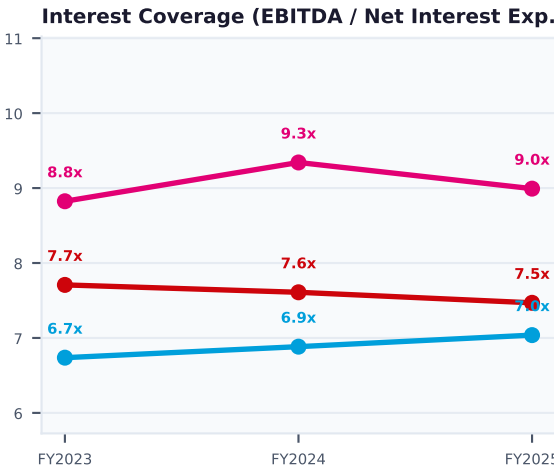
AT&T — EIP financing drag



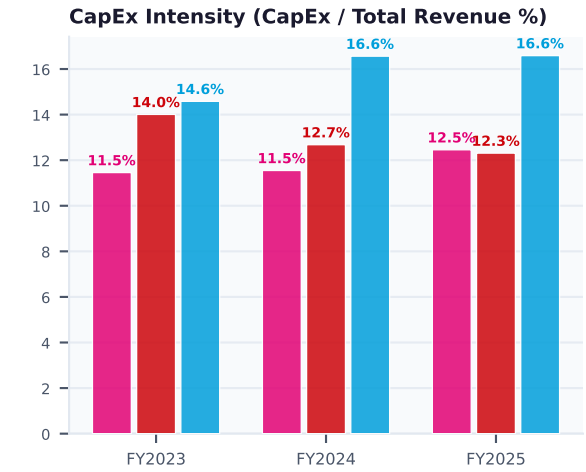
Reported net debt understates true obligation by 30-50%



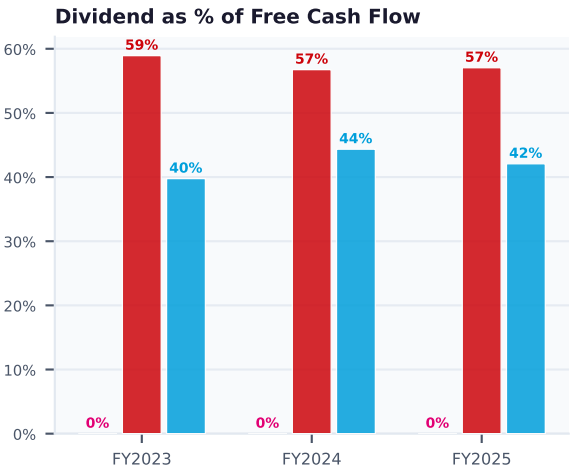
AT&T improves vs VZ once true obligations are reflected



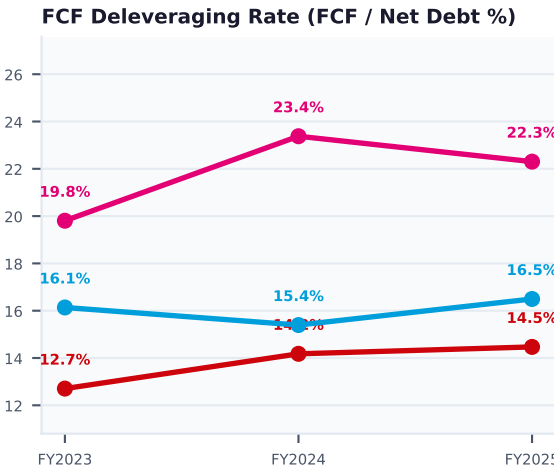
Higher = more buffer; VZ net of \$740M capitalized interest



AT&T highest ongoing investment obligation (16.6%)



FCF committed before any incremental promo spend decision



How fast each carrier can organically reduce net debt

AT&T HIDDEN OBLIGATION DETAIL (FY2025) — Why reported 2.46x leverage understates the true picture:

Reported Net Debt	+ Operating Lease Liabilities	+ Pension Underfunding	+ Spectrum / Unrecognized Tax	= Adjusted Total Obligations
\$117.9B	+\$23.9B	+\$2.1B	+\$10.3B	~\$154B

2.46x EBITDA (reported) Tower, network & real estate leases Defined benefit pension + postretirement gap UTB obligations; timing uncertainty ~3.2x Adj. EBITDA | AT&T FCF covers obligations at 12.6%/yr

THE VERGE ROUNDTABLE — "THE PROMOTION GAME: WHO CAN KEEP PLAYING?"
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PART I — SETTING THE STAGE

MAX: Every carrier is dangling a free phone at you right now. I want to know who is actually winning this spending contest, and who is writing checks they cannot cash. Michael, make the case for T-Mobile.

ROLLINS: Simply: in 2025, T-Mobile's equipment gross loss was \$5.3 billion. For that, they acquired 3.3 million net new postpaid phone subscribers. The math is \$1,611 per net new customer. Now ask Michael Ng what Verizon paid per net add.

NG: I'll answer that, because the framing is wrong. Verizon's net phone additions were 362,000 in 2025, and their equipment loss was \$3.5 billion — which Rollins's math calls \$9,685 per add. But Verizon's spend is primarily targeted at existing postpaid accounts paying \$147 per month in ARPA. Verizon is protecting the most lucrative customer base in U.S. wireless, not chasing entry-level switchers.

ROLLINS: With respect — that distinction has been the Verizon investor talking point for five years. And I want to add a number that exposes it. Verizon's Consumer segment lost 414,000 postpaid phone subscribers in Q1 through Q3 of 2025. That is not premium retention. That is a bleed. They then spent heavily in Q4 to produce 616,000 net adds in one quarter — Black Friday, iPhone deals — and rescued the annual number to a positive 362,000. You do not call nine months of subscriber losses a deliberate strategy.

NG: Michael, 616,000 adds in a single quarter is more than AT&T's combined Q3 and Q4. You do not stumble into that number. The Q1 to Q3 softness was a deliberate pull-back on unprofitable promotions. Verizon chose margin over volume for three quarters, then activated at the highest-value

PART V — ACCOUNTING FORENSICS: WHAT THE NUMBERS ARE HIDING

MAX: Before we close, I want to go one layer deeper. Morgan Stanley's accounting team published a 58-page handbook this month on exactly how these carriers present — and obscure — their financials. What is the single most important distortion investors are missing?

NG: AT&T's pension income. In 2025, AT&T will record approximately \$1.9 billion of pension income inside its non-GAAP earnings. That number is not cash. It is not operating. It is an accounting artifact — plan assets earning more than the liability discount rate, compounded by curtailment gains from decade-long workforce reductions being amortized through income. The company has guided this income to 1.6*billion in* 2026, 0.7 billion in 2027, and essentially zero by 2028. Strip it out and AT&T's true adjusted P/E on Morgan Stanley estimates is 15.1 times, not the company's stated 13.3 times. Investors buying AT&T as a cheap 13x earnings story are actually buying a 15x business whose earnings are about to step down due to a non-operating item running out of road.

ROLLINS: I will add the balance sheet side of the same story. AT&T has 15*to* 17 billion of preferred interests outstanding in subsidiaries — Tower Holdings, Telco LLC across multiple series, and Mobility II. These are structurally senior to AT&T parent debt. Rating agencies do not give them equity credit. Moody's treats them as pure debt. When you include these in AT&T's adjusted gross debt using Moody's methodology, AT&T's adjusted gross debt is \$174 billion. Adjusted net leverage is 3.7 times — the worst of the three. Earlier in this conversation we said AT&T's adjusted leverage was the best at 3.1 times. The Morgan Stanley data shows that conclusion was built on an incomplete accounting for AT&T's capital structure.

MAX: That is a direct reversal of what we said in Part Three.

ROLLINS: It is. And it does not weaken the T-Mobile thesis — it strengthens it. T-Mobile has no preferred interests in